OECD
ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

CANADA

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

MAY 1970

BASIC STATISTICS OF CANADA

THE LAND

Area (thousand sq. km.)	9 976
Agricultural area (% of the total area)	7.6
Population of major cities including their metropolitan areas (1966):	
Montreal	2 436 817
Toronto	2 158 496

THE PEOPLE

Population (Oct. 1969)	21 180 000
Number of inhabitants per sq. km.	2
Population, annual net natural increase (average 1961-68)	278 500
Net rate of annual increase per 1 000 inhabitants (average 1961-68)	14.5
Civilian labour force (Dec. 1969)	8 095 000
Employment in agriculture (Dec. 1969)	457 000
Immigration (annual average 1962-68)	147 000
Average annual increase in civilian labour force (1962-68 %)	2.8

PRODUCTION

GNP in 1969 (millions of Canadian dollars)	78 537
GNP per head (Canadian dollars)	3 708
Gross fixed investment (private and public) per head (Canadian dollars)	803
Gross fixed investment (private and public) as % of GNP	21.7
Origin of Gross Domestic Product (1967 % of total) :	
Agriculture, forestry and fishing	5.3
Mining and quarrying	4.1
Manufacturing	25.8
Construction	6.3
Public administration	7.3
Other	51.5

THE GOVERNMENT

Government current expenditure on goods and services (average 1961-69 % of GNP)	16.3
Government gross fixed capital formation (average 1961-69 % of GNP)	4.3
Federal Government current revenue (average 1961-68 % of GNP)	16.4
Federal direct and guaranteed debt % of current expenditure (average 1961-68 %)	234.5

Composition of Parliament (Number of seats) :

	House of Commons	Senate
Liberals	155	83
Conservatives	72	14
Ralliement Creditiste	—	—
Social Credit	14	—
New Democratie	21	—
Independents	1	—
Vacant	1	5

Last election : June 1968.

LIVING STANDARDS

Food consumption, calories per head per day, 1967-68	3 170
Number of television receivers in use per 1 000 inhabitants (1966)	284
Number of passenger cars in use per 1 000 inhabitants (1967)	282
Number of telephones per 1 000 inhabitants (1967)	408
Average hourly earnings in manufacturing (Canadian dollars, 1968)	2.58

FOREIGN TRADE

Exports :	
Exports of goods and services as % of GNP (average 1961-69)	21.6
Main exports 1969 (% of commodity exports) :	
Wheat	3.5
Newsprint	7.6
Lumber	4.5
Woodpulp	5.1
Non-ferrous metals and alloys	9.8
Ores and concentrates	2.4
Motor vehicles and parts	23.8
Other manufactured goods	16.0
Main customers 1969 (% of commodity exports) :	
United States	71.0
United Kingdom	7.5
European Economic Community	5.7
Imports :	
Imports of goods and services as % of GNP (average 1961-69)	22.8
Main imports 1969 (% of commodity imports) :	
Industrial materials	21.9
Motor vehicles and parts	26.9
Producers' equipment	22.0
Consumer goods	16.8
Main suppliers 1969 (% of commodity imports) :	
United States	72.7
United Kingdom	5.6
European Economic Community	5.6

THE CURRENCY

Monetary unit : Canadian dollar

Currency units per US dollar (fixed rate in force between 2nd May 1962 and 31st May 1970)	1 081

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CANADA

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The members of OECD are: Austria, Belgium, Canada, Denmark, Finland, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

The Socialist Federal Republic of Yugoslavia is associated in certain work of the OECD, particularly that of the Economic and Development Review Committee.

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INTRODUCTION

In 1969, a rapid expansion early in the year gave way to much slower advance in the last three quarters. Despite the apparent lack of overall excess demand, costs and prices continued to rise strongly, presenting the authorities with a difficult policy problem. The current account of the balance of payments deteriorated from the unusually favourable result in 1968, but with a substantial increase in net capital inflows a small increase in official international reserves was registered.

Demand management policies, which contributed to the deceleration in the last part of 1969, continue to exercise considerable restraint. With these policies, and with a substantial economic slowdown in the United States, the rate of growth in 1970 will likely remain well below that of potential, and unemployment will probably rise during the year. As economic slack increases, some slowing of price increases should result. The authorities are attempting to enlist voluntary co-operation in speeding the transition towards more stable prices, a process which will also be importantly influenced by progress made towards the same objective outside Canada. The balance on current external transactions is expected to improve in 1970.

The first part of this Survey describes recent economic trends, including demand and output, employment, costs and prices, and the balance of payments. Part II examines demand management and incomes policies, and the final section assesses prospects, and offers some policy conclusions.

I RECENT TRENDS

The Growth of Output

The spurt in the volume of output which began in 1968 carried on into the first quarter of 1969, but expansion abruptly slowed thereafter. For the year as a whole real GNP increased by 4.8 per cent[1], roughly ½ percentage point below the estimated long-term growth rate of potential[2]. But over

1 References to national accounting data are based on information available at the time this Survey was prepared. Revisions released late in May (cf. Table A, Statistical Annex) do not affect the main conclusions in the text.

2 Estimated by the Economic Council of Canada at about 5¼ per cent per year for the period 1967-75.

the last three quarters real GNP (seasonally adjusted) increased at an average annual rate of only 1¾ per cent, compared with 8 per cent over the previous three quarters. Real domestic product (RDP) climbed by 4.6 per cent in 1969 with a similar time-path[1].

Special factors on the supply side contributed to the sharp deceleration. Beginning in the spring, important labour disputes in construction and primary metals industries depressed output, having their largest impact in the third quarter. Agricultural output (seasonally adjusted) climbed rapidly to a peak in the first quarter of 1969, and then receded substantially during the remainder of the year. Chart 1 shows in an approximate fashion how these two factors influenced the quarterly pattern of output. RDP (seasonally adjusted) dropped in the second quarter, and again very slightly in the third, but registered a sizeable advance in the final quarter as recovery from strikes began. Over the three quarters the gain averaged 1½ per cent at an annual rate, compared with nearly 7 per cent in the previous three quarters. However, excluding agriculture and the principal strike-affected industries, quarterly movements were less uneven; the average annual rate of increase over the last three quarters was about 3 per cent, compared with about 6¼ per cent in the previous three quarters.

Patterns of Demand and Financing

The special supply factors explain only part of the slowdown in output. A widespread deceleration in the expansion of demand was also apparent in the latter part of the year, influenced by increasing policy restraint, and slower growth in the United States. Movements in real GNP by demand components are summarized in Table 1.

The time-path of exports was severely distorted by strikes both in the United States and in Canada. Canadian exports were stimulated in early 1969 by the US dockworkers' strike which apparently diverted some US import demand to and through Canada. As this stimulative factor disappeared, and as shipments to the United States were interrupted by the strikes in Canada mentioned earlier, the volume of exports dropped in the second quarter, and grew only slowly in the third. With a recovery in strike-affected shipments, there was a substantial increase late in the year and early in 1970. Even when rough allowance is made for these special factors, however, external demand apparently slowed considerably after the first quarter, reflecting the deceleration in the US economy and the weakness in the world wheat market.

1 RDP attempts to measure domestic gross value-added, excluding, therefore, indirect taxes, which are included in GNP, and including net factor payments to abroad which are deducted from GNP . In addition, there will be statistical discrepancies between the two measures.

Table 1 **Changes in Demand and Output**

Percentage changes, seasonally adjusted annual rates

	1966	1967	1968	1969	1968 II 1968 I	1969 Q1 1968 Q4	1969 Q2 1969 Q1	1969 Q3 1969 Q2	1969 Q4 1969 Q3
Constant (1961) prices :									
Personal expenditure	5.3	4.7	4.5	5.6	5.7	9.8	0.9	4.6	7.3
Government current expenditure	10.9	2.5	4.6	5.9	2.5	7.0	0.4	8.0	–2.3
Government fixed investment	10.3	7.8	1.7	–8.4	3.4	–36.2	14.5	–23.6	24.8
Non-residential business fixed investment	16.7	–2.7	–2.8	1.9	–1.0	7.5	–7.2	11.5	0.2
Residential construction	–6.7	4.0	10.2	8.3	12.3	13.9	–4.6	–0.6	–3.5
Final domestic demand	7.4	3.3	3.5	4.6	4.5	6.8	–0.1	4.5	4.9
Inventory investment[1]	(0.1)	(–1.6)	(0.5)	(0.5)	(1.8)	(2.1)	(–3.3)	(–1.1)	(0.3)
Total domestic demand	7.4	1.7	4.0	5.0	6.3	8.9	–3.3	3.3	5.2
Exports of goods and services	13.2	10.5	11.9	7.5	6.9	19.7	–12.8	2.3	20.3
Imports of goods and services	13.6	5.1	9.3	9.8	9.2	25.5	–4.0	–2.1	9.0
Foreign balance[1]	(–0.4)	(1.1)	(0.5)	(–0.6)	(–0.6)	(–1.5)	(–2.4)	(1.2)	(2.4)
GNP[2]	7.0	3.3	4.8	4.8	6.5	7.9	–4.9	4.4	5.8
Current prices :									
GNP	11.9	6.8	8.9	9.3	10.4	11.0	2.5	9.2	8.2
Implicit price deflator	4.6	3.4	4.0	4.2	3.7	2.9	7.8	4.6	2.2

1 Changes expressed as a percentage of GNP in the previous period at annual rates. These two items and the rate of change of final domestic demand broadly equal the rate of change of GNP (except for the residual error of estimate).

2 Including residual error of estimate.

NOTE : Figures are based on national accounts data as available at the time this Survey was prepared. Revisions back to 1967 were released late in May, after this document had been approved, and are shown in Table A of the Statistical Annex.

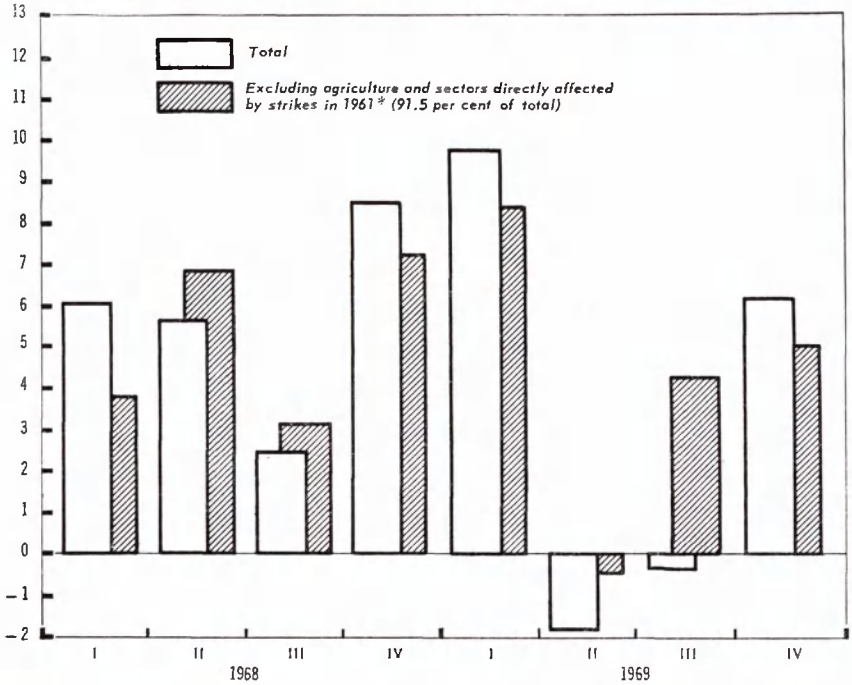
Source: Dominion Bureau of Statistics.

Table 2 **Real Domestic Product and Industrial Production**
Percentage changes, seasonally adjusted annual rates

	1967	1968	1969	1968				1969				Weight in per cent of total index
				I	II	III	IV	I	II	III	IV	
Real domestic product	2.7	4.5	4.6	6.1	5.7	2.5	8.5	9.8	–1.8	–0.3	6.2	100.00
of which :												
Real domestic product excluding agriculture	3.6	4.4	4.5	4.0	6.9	3.3	7.3	8.6	–1.6	0.5	6.8	95.44
Goods	1.7	5.2	5.1	2.9	13.2	3.1	10.8	9.7	–1.9	–3.8	6.0	39.21
Services	5.0	3.7	4.0	5.1	2.1	3.2	5.0	7.3	–0.8	4.0	7.1	56.23
Industrial production	1.9	5.3	5.0	2.4	10.4	3.8	12.2	8.2	–2.6	–3.5	7.4	31.85
of which :												
Manufacturing	0.3	5.1	5.6	1.3	12.8	2.3	14.5	6.5	1.2	–1.4	2.6	24.74
Non-durables	1.3	4.6	5.4	9.8	4.0	–4.9	16.7	9.0	–0.3	4.6	1.9	13.61
Durables	–0.6	5.6	5.8	–6.8	22.9	9.8	12.2	3.9	3.0	–7.4	3.7	11.13

Source: Bank of Canada Statistical Summary.

Diagram 1 Real Domestic Product
Quarterly per cent changes at seasonally adjusted annual rates



* Iron mines, misc. metal mines NES, iron and steel mills, smelting and refining. Share in total: 3.9 per cent.

Source: Canadian Statistical Review.

Imports followed a similar pattern. The strong expansion of domestic demand in the last half of 1968 and early 1969 pulled in a rapidly rising volume of imports. (In the first quarter this may have been exaggerated by imports destined for the United States being diverted through Canada because of the US dock strike.) After the first three months, imports declined in volume for two successive quarters, but recovered strongly towards the end of the year. The increase in the volume of imports more than offset the gain in exports for the year as a whole; the net foreign balance was a dampening factor in the first half, but a net source of stimulus in the second.

The volume of business non-residential fixed investment increased in 1969 for the first year since 1966. The increase, nearly 7 per cent in value, but a moderate 2 per cent in volume, was held down by the impact of strikes and, apparently, difficulties in obtaining financing, especially during

the second half. At mid-year, businesses anticipated a large 11½ per cent value increase, corresponding roughly to a 7½ per cent gain in real terms. But realized investment fell well short of this; the shortfall from earlier plans was concentrated in construction, which was hampered by strikes in the summer. Recent surveys indicate that many of these planned projects have been re-scheduled for 1970.

With a profits squeeze developing, internal funds failed to keep up with increases in investment outlays in 1969. Businesses sharply increased their resort to external funds, borrowing roughly one-third more than in 1968 despite high borrowing costs and difficulty in obtaining financing. There was a striking shift in the composition of borrowing towards short-term sources. Increases in loans from chartered banks more than doubled in 1969, and together with commercial paper and bankers' acceptances more than accounted for the total expansion of borrowing. Reflecting the preferences of lenders in an inflationary climate, the use of equity financing and convertible bonds increased, while other long-term bond financing declined. In the second half internal cash flows were squeezed, as corporate profits declined. At the same time, with monetary policy increasingly restrictive, chartered banks were forced to drastically curtail their lending activities. With credit conditions becoming generally more stringent, business cut their borrowing by nearly 50 per cent—probably restraining business investment.

Residential construction scored a large increase in 1969, 8¼ per cent in volume. However, this was entirely due to a strong rise in the last half of 1968 and early 1969; after the first quarter, residential construction (seasonally adjusted) declined, reflecting changing financial conditions and sharply rising construction costs. Funds had been relatively plentiful in the last half of 1968; mortgage interest rates were easing, and mortgage approvals (seasonally adjusted) by financial institutions and the Central Mortgage and Housing Corporation (CMHC) rose to a peak in the last quarter. In the course of 1969, as general credit conditions tightened, mortgage interest rates climbed sharply—about 1½ points over the twelve months—and the availability of financing was reduced. By the fourth quarter, housing starts (seasonally adjusted) were 30 per cent below the high first quarter rate. But for the year as a whole, starts were nearly 7 per cent above 1968, and more housing units were under construction at year-end than a year earlier. Thus, on the whole, housing held up fairly well against adverse financial trends in 1969. The trust and mortgage loan companies were able to attract substantial funds from the issue of fixed-term deposit-type instruments. Mortgage rates were made more flexible[1] and borrowers proved

1. The ceiling on maximum interest rates on loans issued under the National Housing Act was eliminated at mid-year; other amendments to NHA regulations also increased the flexibility of terms.

willing to pay high rates, reflecting strong underlying demand for housing and inflationary expectations. The CMHC increased its activities—particularly in low income housing—and total loan approvals for new housing units were only slightly below 1968.

Household incomes before taxes rose by more than 10 per cent in 1969, somewhat faster than in the previous year. Labour income accelerated substantially, but other incomes saw slower growth[1]. Increases in personal tax rates held the growth in disposable income to about 8 per cent. But households largely absorbed the higher taxes from saving, as personal consumption expenditures (value) rose by 9½ per cent[2]. The personal saving rate (excluding changes in farm inventories) declined for the second year in a row. In volume terms, households increased their purchases by over 5½ per cent, the largest increase since 1965.

Personal expenditure on durable goods, beginning the year at a high rate, showed a rather small increase thereafter (value). Automobile sales, in particular, showed weakness initially in the spring and again towards the end of the year. The growth in consumer credit outstanding was significantly reduced in the second half, as chartered banks restricted their lending sharply. Purchases of non-durables and services kept up a steady pace, however, and the increase in consumer spending over the last two quarters was only slightly slowed from the first two; in volume, household purchases grew somewhat more rapidly in the latter part of the year.

Government sector outlays on goods and services (value) increased by more than 9 per cent in 1969. However, this largely reflected substantial salary increases, with retroactive payments covering the previous two years. The volume of government purchases rose by a moderate 2½ per cent, well below the increase in the previous year, and roughly half the average growth rate of the mid-1960's. The increase in current expenditures, including additional participation in the " Medicare " plans[3], more than accounted for the overall rise; government capital outlays fell substantially. (The overall government fiscal position is discussed in Part II.)

In the aggregate, the final demand[4] components described above rose by 4 per cent in 1969, about the same increase as in the previous year.

1 Including a decline in farm income.

2 Under the newly revised system of national accounts, government payments for hospital services are now included in government purchases of goods and services, and excluded from the household account. In addition, the implementation of Medicare is involving a transfer of medical expenditures from the personal to public purchases.

3 See footnote 2 above.

4 I.e., real national output sold to final users, equal to real GNP less inventory investment (and less the residual error of estimate).

An increase in the rate of stock accumulation added about ½ a percentage point to the growth in real GNP. Non-farm inventory investment was about the same as in 1968, but farm inventories and grain in commercial channels grew substantially more than in the previous year, reflecting good crops and weak export markets for grain. Most of the increase in non-farm stocks occurred in the first quarter ; in the second and third quarters strikes kept net stockbuilding at low rates, with some recovery in the final quarter. At year-end, stock-sales ratios in manufacturing were rising, but were moderate by past standards.

The Labour Force, Employment, and Productivity

The number of employed in 1969 was 3¼ per cent above 1968, with an even stronger increase in the non-agricultural sector (Table 3). Productivity, as crudely measured by output per employee, grew at a rather sluggish pace ; in the non-agricultural sector, the growth in measured productivity was less than 1 per cent (Table 4)[1]. Growth in the labour force was only slightly less than that of employment, as the trend towards higher participation rates in the last several years continued until mid-year. (The change in the participation rate contributed about ½ a percentage point to labour force growth in 1969.) Thus the overall unemployment rate edged down only slightly.

Employment growth was most vigorous, of course, late in 1968 and early in 1969, when output was growing very rapidly. In the last quarter of 1968 and the first of 1969, the annual rate of growth was well over 5 per cent. In the remainder of the year, total employment showed no growth, and non-agricultural employment less than 1 per cent.

Participation rates varied widely within the year, rising in response to stronger labour market conditions in the first half, and falling later in the year as demand for labour weakened. Thus labour force growth tended to accommodate variations in employment growth, and the unemployment rate fluctuated less than might have been expected. Nevertheless, the overall unemployment rate fell from above 5 per cent in mid-1968 to less than 4½ per cent early in 1969, and moved back to about 5 per cent in the last quarter, and the first of 1970 ; by May it had risen to 6.2 per cent.

1 These figures somewhat understate the true rise in productivity, since output was affected by strikes, while striking workers are counted as employed. Adjustment for this factor might raise productivity growth by perhaps ½ a percentage point.

Table 3 **Labour Force, Employment and Unemployment**
Percentage changes, seasonally adjusted annual rates

	1967	1968	1969	I 1968	II 1968	III 1968	IV 1968	I 1969	II 1969	III 1969	IV 1969
Civilian working-age population[1]	3.0	2.8	2.6	2.6	2.8	2.8	2.5	2.4	2.6	2.7	2.5
Labour force	3.7	2.9	3.1	1.7	5.8	3.8	3.8	4.1	4.3	–2.4	1.0
Total employment	3.2	2.1	3.2	1.2	4.7	3.6	4.4	6.3	2.6	–2.9	0.3
Non-agricultural employment	3.2	2.5	3.6	1.8	4.3	4.8	5.6	5.3	2.9	–1.6	1.4
Unemployment rate	4.1	4.8	4.7	4.6	4.9	5.0	4.8	4.4	4.7	4.9	5.0

1 Not seasonally adjusted. The difference between this line and the next is approximately the contribution of changes in the participation rate to labour force growth.
Source: Bank of Canada Statistical Summary.

Table 4 **Labour Compensation, Productivity Unit, Labour Costs, and Unit Corporate Profits**
Percentage changes, seasonally adjusted annual rates

	1967	1968	1969	I 1968	II 1968	III 1968	IV 1968	I 1969	II 1969	III 1969	IV 1969
Labour compensation per employee	7.2	6.8	8.5	n.a.	8.0	4.4	9.5	6.8	8.8	15.2	7.6
Total productivity per employee	–0.5	2.1	1.6	1.2	1.0	–1.1	3.9	3.3	–4.4	2.7	5.9
Non-agricultural productivity per employee	0.4	1.8	0.8	2.2	2.5	–1.4	1.6	3.1	–4.4	2.1	5.3
Labour compensation per unit of total output	7.7	4.7	6.8	n.a.	7.0	5.5	5.4	3.4	13.8	12.2	1.6
Corporate profits per unit of total output	–4.5	5.1	2.5	n.a.	20.4	20.1	35.7	–10.1	3.0	–24.9	–12.5

Source: Bank of Canada Statistical Summary; OECD Secretariat.

The Pressures of Demand ; Costs and Prices

Measured by broad, annual aggregates, Canada appears not to have experienced excess pressure on resources since the end of the 1965-1966 boom. Chart 2 shows actual real output in relation to estimated potential output, set in an earlier period at a level approximately equivalent to a 4 per cent unemployment rate, and growing at a trend estimated by the Economic Council of Canada. After the excess demand in 1966, output fell back below potential in 1967, and, except for the upsurge beginning in 1968, the gap has widened somewhat since then.

Using the overall unemployment rate as an index of the pressure of demand, the bottom panel on the same chart shows a very similar pattern. Unemployment fell below 4 per cent in 1965 and 1966, rose somewhat above it in 1967, and has averaged 4¾ per cent in the last two years.

This overall picture must be qualified in a number of important respects. First, at any given time, the ratio of actual to potential output may be only an approximate indicator of pressure on resources. The composition of unemployment may also have an important bearing on demand pressures. Unemployment rates for different groups may provide a slightly different view. It is likely, for example, that the unemployment rate for males of prime age is a better indicator of pressures in labour markets, since it excludes the marginal labour force —women and teenagers—whose participation depends heavily on labour market conditions ; who may not be potential employees for crucial industries and job occupations ; and who do not exert much back-pressure on wage rates when unemployed. In the late 1950s and early 1960s, the unemployment rate for males aged 25-44 was quite similar to the overall rate, averaging only 0.1 percentage points lower. But in the latter 1960s, the rate has become successively lower than the overall rate, reflecting the greater proportion of marginal workers in the unemployed. Thus it may be that demand pressures in labour markets may have been considerably stronger in 1969 when an overall unemployment rate of 4.7 per cent was associated with a prime-age male rate of 3.8 per cent, than, say, in 1957, when the overall rate of 4.6 per cent was associated with a prime-age male rate of 4.5 per cent.

Demand pressures may also vary with the prevalence of regional and professional disparities in unemployment. Canada does suffer from serious regional disparities. In 1969, the unemployment rate was 3.2 per cent in Ontario, compared with 6.9 per cent in neighbouring Quebec. This was a somewhat larger than normal discrepancy by historical standards ; in 1969, unemployment dropped more sharply in Ontario than in Canada

as a whole, and rose in Quebec[1]. Similar data for various occupations and skills are not easily available. The Government is engaging in programmes to improve the labour market situation in these respects.

A final qualification should be added, resulting from the recent very uneven rate of expansion in Canada. Chart 2 shows that, while for the year as a whole output fell somewhat further below potential in 1969, the surge of late 1968 and early 1969 brought output up sharply, closely approaching full potential. Indeed, it appears likely that there was significant excess demand in that period, especially in certain industries. The overall unemployment rate averaged 4.4 per cent in the first quarter, but for prime-age males, the rate was a low 3.4 per cent. In addition, the rapid rate of expansion probably created bottlenecks in individual sectors of the economy.

In 1969, the Canadian economy continued to suffer from strong price increases (Table 5). The GNP deflator is the broadest price measure, but is not a completely satisfactory indicator, partly because of weighting shifts. It rose more than in 1968. There was some tendency, however, for price increases to ease in the second half and in the first quarter of 1970. The consumer price index continued its acceleration for the fourth consecutive year, rising by 4.5 per cent in 1969 compared with 4.1 per cent the previous year. Its annual increases since 1966 have been higher than in any previous year back to 1951. Food contributed 1.2 percentage points to the total rise in 1969. Other non-durables were responsible for 1.0 percentage points, durables 0.2, shelter 1.2, and other services 0.9. After having slowed considerably in the summer months, the index picked up speed towards the end of the year. Over the last three months it was rising at a 4¾ per cent annual rate[2], not far different from the average of the previous nine months. Early in 1970, the pace had eased somewhat again, to about a 4 per cent annual rate over the first four months, and excluding food to about a 3½ per cent rate.

Wholesale prices grew by a 4.6 per cent in 1969, mainly in the first half-year, due to high increases for wood products, industrial and other materials, animal products and non-ferrous metals. The trend was improved in the second half. After a decline starting in the summer, the index resumed its advance in December. It rose strongly early in 1970, but levelled off in the spring.

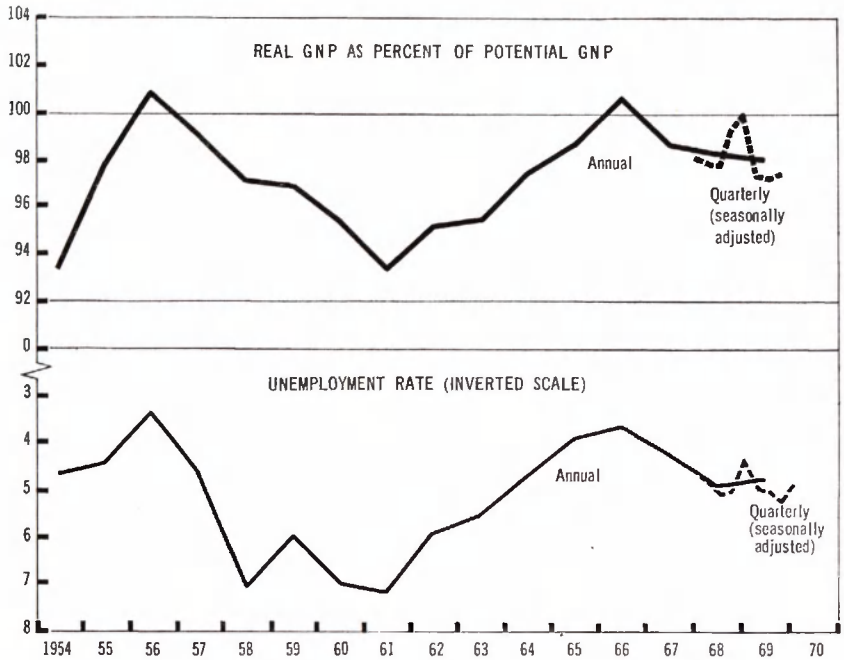
Wage rates and wage costs increased at an accelerated rate in 1969. Labour compensation per employee rose more rapidly for the year as a

1 Disparities in regional unemployment usually tend to grow (in absolute terms) with rising unemployment, and conversely.
2 Seasonally adjusted by the Secretariat.

Table 5 **Prices**
Percentage changes

	1962	1963	1964	1965	1966	1967	1968	1969	1961 Weights (per cent of total index)
Price deflators :									
GNP	1.4	1.9	2.4	3.5	4.6	3.4	4.0	4.2	
Private consumption	1.4	1.6	1.3	2.1	3.3	3.4	3.9	3.7	
Exports of goods and services	3.2	1.3	2.3	1.5	2.9	1.7	1.4	2.6	
Imports of goods and services	4.4	1.7	1.1	0.2	1.7	1.9	1.8	3.6	
Price indices :									
Consumer prices	1.2	1.8	1.7	2.5	3.7	3.6	4.1	4.5	100
Food	1.8	3.2	1.6	2.6	6.4	1.3	3.3	4.2	27
Non-food	1.0	1.2	1.9	2.4	2.8	4.4	4.4	4.6	73
Non-food goods	0.2	0.8	1.1	1.1	2.0	3.7	3.7	2.7	43
Services excluding shelter	2.1	2.0	3.7	6.2	4.4	6.2	4.4	6.9	13
Shelter	1.6	1.8	2.5	2.6	3.1	4.7	6.0	6.8	18
Wholesale prices (1935-39 weights)	2.9	1.9	0.3	2.0	3.6	1.8	2.1	4.6	
Export prices (1948 weights)	3.3	0.6	1.4	1.3	4,2	2.0	3.6	4.4	
Import prices (1948 weights)	4.5	3.9	1.1	—	1.3	0.8	1.6	3.5	

Diagram 2 **Indicators of Demand Pressure**



Source: Economic Council of Canada, Bank of Canada Statistical Summary and OECD.

whole than in 1968, and the productivity growth rate slowed from the rather favourable 1968 performance. As a result, unit labour costs accelerated, placing additional pressure on prices. The increase in overall unit labour costs has been considerably greater than the overall price increase in recent years, particularly in those years when some economic deceleration appeared (1967 and 1969). Non-wage cost components have been rising less rapidly. Table 4 shows that corporate profits per unit of output have risen in each of the last two years, after declines in 1966 and, especially, 1967. Within 1969, however, profits per unit of output were generally falling, particularly in the second half.

Wage rates for labour covered by major collective bargaining agreements[1] also accelerated in 1969. Over the twelve months of the year, the average base rate in effect rose by 7.1 per cent, compared with 6.6 per

1 Excluding construction.

cent during the previous twelve months ; the increase continued to be rapid early in 1970. New settlements reached in 1969 offer no prospect of an early easing ; the weighted average of new settlements (averaged over the life of the contract) was just under 8 per cent. This was about the same as in 1968, but there was an accelerating trend within the year. In the first quarter of 1970, settlements averaged about 9 per cent. Although unionized labour makes up only about a third of the labour force, they may act as trend-setters, with influence in non-organized sectors.

Recent cost and price performance has seemed disappointing in view of the easing of pressures on resources that has taken place since 1966. 1968 and 1969 have seen substantially more rapid price increases than past relationships with broad demand pressure variables would have suggested. This is still true, although to a much lesser extent, when one takes account of the factors discussed in the opening paragraphs of this section. There are several possible explanations of this result, all of which probably played important roles.

One likely factor, given much emphasis in public pronouncements, is the role played in price and wage determination by inflationary expectations. This hypothesis emphasizes that price and wage increases will tend to be higher, for any given level of demand pressure, when the preceding period has seen a sustained period of inflation, sufficient to create generalized expectations that it will continue. These expectations will then become a factor in price and wage decisions. Thus one would expect that two years like 1964 and 1968, with about the same degree of demand pressure, would differ substantially in price trends, since the latter year followed an inflationary period. There is some evidence to support this view. Nevertheless, one would still expect price trends to decelerate, although perhaps slowly, with the removal of excess demand. In Canada, expectations are also strongly influenced by trends in the United States, where excess demand was not removed until late in 1969, and where price increases continued to accelerate until recently.

Another hypothesis puts emphasis on the role of cost-push from large wage increases, particularly in the unionized sector, which has continued even in the absence of generalized excess demand in labour markets. The evidence of the past several years seems at least superficially consistent with this view. Increases in wage and salaries per unit of output have risen by an average 5.8 per cent per year since 1965, while corporate profits per unit have been virtually flat (although there have been substantial swings in corporate profits per unit within the period). The major impetus to prices over this period taken as a whole, would seem to have come from labour costs.

To some extent this appears to be a normal cyclical phenomenon. In early stages of an upswing wage rates are generally slow to accelerate, and productivity performance is good ; unit labour costs are relatively flat, and profits per unit rise quickly. Wages and unit labour costs begin to pick up later on, but the labour share of national income is usually still below its long-term trend. Strong pressures for further wage increases come as workers may wish to recapture past losses in the labour share. At the same time, productivity gains weaken in a slowing economy. Unit labour costs usually rise strongly for some time after the peak has been passed and demand pressures are easing. (A more complete description of this process, with a graphical analysis of Canadian cyclical experience, is in Annex 1.)

In addition to these factors, and the influence of inflationary expectations on wage demands, wage earners in Canada are strongly influenced by wage gains made in the United States. This is true not only because of physical closeness and the communications network connecting the two countries, but also because there are many formal connections with unions in similar industries across the border. Aspirations for real income, then, are stimulated by the example set south of the border, while, at the same time, there is still a substantial productivity gap between the two countries.

In connection with the factors discussed above, mention has twice been made of the influence of price and wage developments in the United States. An additional obvious channel for the transmission of price movements from the United States should also be mentioned, that of prices of products traded between the two countries. As prices of imported products increase, this will influence the prices of domestically produced substitutes ; through its effect on the cost of living, it will stimulate wage demands. Export prices will be influenced by prices of competing products in U S markets, and businesses in the exporting sectors will have less incentive to resist wage demands. On the other hand, of course, prices rising less rapidly abroad than in Canada would be a stabilizing influence on Canadian prices.

In all, inflation in the United States must have had an important effect on Canadian price behaviour (even apart from any influences on the level of demand pressure in Canada). One can try to measure what this total effect might have been, using a simple model of price determination in Canada which includes the price movement in the United States as a separate independent variable. Preliminary results suggest a significant influence of price movements in the United States on prices in Canada (holding the level of demand pressure in Canada constant).

The Balance of Payments

Canada's current account deficit widened substantially in 1969, reaching about C$ 725 million, compared with an unusually favourable C$ 60 million in 1968. The deterioration reflected a reduced surplus on merchandise trade, and, to a lesser extent, a widened deficit on travel. A net increase in long-term capital inflows, offset in part by an increase in short-term outflows, resulted in a larger net capital inflow. The overall external balance remained satisfactory, and official reserves increased slightly.

The trade surplus was about C$ 850 million in 1969, a good deal less than the 1.4 billion in the previous year, but quite a good performance from a longer-term perspective. Special factors probably reduced the surplus. Both exports and imports were swelled by trade diverted to and through Canada by the first quarter dock strike in the United States, with perhaps a small net positive effect on the balance. But Canadian exports were severely affected by the strikes in the primary metals industries, and the depressed state of the world wheat market.

Merchandise exports in 1969 grew by 10 per cent, much less than the extraordinary 19½ per cent gain of the previous year. They were stimulated by the U S dock strike, but dampened by Canadian strikes, weak wheat sales, and slowing growth in the United States. Automotive exports, still benefiting from the effects of the 1965 Canadian-United States automotive trade agreement, grew by more than 30 per cent. While less than the increase in 1968, this was enough to account for nearly two-thirds of the total rise in exports. Agricultural exports fell for the third consecutive year. Excluding automotive and agricultural trade, exports rose by 7 per cent, with strong performances by manufactured goods, forest products, chemicals, and petroleum. By area, exports to the United States accounted for the total increase, rising by 15 per cent (8 per cent excluding automotive products). Shipments to the United Kingdom fell by 10 per cent, and exports to other areas showed only a very small gain.

With domestic demand still rising substantially, imports of goods rose by 15 per cent in 1969, slightly above the increase in the previous year. But there was little net increase after the first quarter of the year, as the U S dock strike ended and domestic growth decelerated. Excluding automotive imports from the United States—stimulated by the trade agreement—import growth was still nearly 13 per cent. The largest increase was in capital goods, responding to rising fixed investment, but imports of consumer goods also rose substantially. Imports were encouraged in 1969 by two tariff reductions under the Kennedy Round—the second adopted as an anti-inflationary measure in advance of the schedule.

The balance on non-merchandise current account items deteriorated by about C$ 150 million. The major unfavourable movement was a substantial widening of the deficit on travel. The deficit on net investment income, which usually grows, remained about unchanged, reflecting an unusually large increase in interest receipts.

Long-term capital inflows rose from C$ 1.6 billion in 1968 to 2.2 billion last year. The main factor in this increase was an unusual net inflow of C$ 0.1 billion on foreign securities, after a net outflow of nearly C$ ½ billion in the previous year, as net purchases by domestic investors gave way to net sales after mid-year. Sales of Canadian stocks and outstanding bonds brought another improvement by C$ 150 million. Corporations placed more stocks in foreign markets than a year before. New bond issues totalled nearly $ 1.9 billion. This was about the same as in 1968, but there was a substantial change in composition. Federal government issues purchaseds abroad fell from C$ 290 to 34 million, but, partly due to restrictiveness at home, provinces and municipalities sold C$ ¼ billion more bonds abroad than in 1968. Canadian direct investments abroad rose much more than foreign investment in Canada, so that net inflows on this account fell by C$ 0.1 billion.

Net outflows of short-term capital were C$ 1.4 billion, 0.2 billion above their 1968 level. Residents' holdings of foreign bank balances and other short-term funds abroad[1] increased by C$ 1.2 billion more than in 1968, mainly in the second and third quarters, when interest rates abroad reached very high levels, especially in the Euro-dollar market. The outflows were partly matched by considerable inflows, mainly on high-yielding Canadian finance company paper and on some other short-term Canadian instruments.

In 1969, as in the past several years, the structure of the balance of payments capital account has been featured by a large inflow of long-term capital—more than sufficient to cover the deficits on current account. At the same time, there have been sizeable short-term capital outflows. The scale of this long-term borrowing largely reflects the financing requirements of provinces, municipalities, and corporations which traditionally have been met in important part from larger foreign capital markets. This pattern of financing leads to servicing costs for the future, and may not accord with longer-term balance of payment objectives.

Official reserves fell slightly during the first three quarters of the year, but rose in the fourth. Over the year as a whole, there was a small net increase of C$ 65 million. In the first four months of 1970, official reserves (excluding SDR's) rose by more than C$ 600 million.

1 Excluding official reserves.

Table 6 **Balance of Payments—Current Account**
C $ million

	1965	1966	1967	1968	1969	1968[1]		1969[1]	
						I	II	I	II
Merchandise exports	8 745	10 326	11 338	13 538	14 886	13 258	13 818	14 650	15 122
Merchandise imports	–8 627	–10 102	–10 772	–12 162	–14 018	–11 750	–12 574	–13 812	–14 224
Trade balance	118	224	566	1 376	868	1 508	1 244	838	898
Gold production for export	138	127	112	120	110	118	122	116	104
Travel	–49	–60	423	–23	–201	38	–84	–158	–244
Interest and dividends	–764	–822	–916	–959	–958	–1 004	–914	–940	–976
Freight and shipping	–93	–65	–31	–43	–60	–34	–52	–64	–56
Inheritances and migrants' funds	5	70	116	161	173	106	216	146	200
All other current transactions	–485	–636	–769	–692	–654	–666	–718	–632	–676
Non-merchandise balance	–1 248	–1 386	–1 065	–1 436	–1 590	–1 442	–1 430	–1 532	–1 648
Current balance	–1 130	–1 162	–499	–60	–722	66	–186	–694	–750

1 Half years at seasonally adjusted annual rates.

Source: Quarterly estimates of the Canadian Balance of International Payments (DBS).

Table 7 **Balance of Payments—Capital Account**
C$ million

	1965	1966	1967	1968	1969	1968		1969	
						I	II	I	II
A Current balance (seas. adj.)						33	–93	–347	–375
Current balance (not seas. adj.)	–1 130	–1 162	–499	–60	–722	–221	161	–569	–153
B Long-term capital	864	1 167	1 347	1 590	2 162	874	716	1 026	1 136
Direct investment	410	785	566	475	370	200	275	205	165
Canadian stocks, net	–257	–83	48	172	257	65	107	241	16
Canadian bonds, net	888	809	857	1 409	1 488	792	617	805	683
New issues	1 216	1 408	1 270	1 872	1 861	1 099	773	989	872
Retirements	–383	–495	–356	–394	–374	–244	–150	–195	–179
Trade in outstanding bonds	55	–104	–57	–69	1	–63	–6	11	–10
Foreign securities	–85	–401	–432	–468	96	–218	–250	–66	162
Other long-term capital	–92	57	308	2	–49	35	–33	–159	110
C Short-term capital	425	–364	–828	–1 181	–1 375	–797	–384	–549	–826
D Change in reserves, IMF position (A + B + C)	159	–359	20	349	65	–144	493	–92	157
Official holdings of gold and foreign exchange	–9	–462	36	598	228	62	535	–217	–11
Net position in IMF	168	103	–16	–249	293	–341	92	125	168

Source: Quarterly estimates of the Canadian Balance of International Payment (DBS).

II ECONOMIC POLICY

With price performance in Canada continuing to be unsatisfactory, inflation remains the priority concern of public policy. Late in 1968, when it became clear that the strength of demand and inflationary pressures had been underestimated, both fiscal and monetary policy moved to exercise additional restraint. This restraint continued throughout 1969, becoming progressively intensified. In an effort to help speed the disinflationary process, and minimize the costs of the adjustment process, Canada has begun a programme to promote voluntary price and wage restraint. These efforts are summarized in the last part of this section.

Fiscal Policy

Federal fiscal policy moved into a position of substantially increased restraint in 1969. In October, 1968, the Government proposed several tax measures, which, together with a programme of expenditure restraint, were designed to restrain overall demand and move the federal budget into surplus. The tax measures, detailed in the last OECD Economic Survey for Canada, accounted for most of a projected shift in the federal fiscal position (national accounts basis) of nearly C$ 0.7 billion, or almost 1 percent of GNP, for the fiscal year beginning 1st April, 1969 (FY 1969-70) Latest estimates (February, 1970) confirm that a shift of almost that magnitude has taken place. (Table 8.) The expenditure increase turned out to be quite close to the earlier 11 per cent estimate, with some offsetting changes in individual items. Revenues were substantially under-estimated for both FY 1969-70 and FY 1968/69, partly because of a more rapid increase in money incomes in late 1968 and 1969 than anticipated earlier. The increase in revenues was about 15½ per cent, of which roughly one-third represented discretionary tax increases.

No new tax increases were proposed in the June, 1969 budget message. But the temporary 3 per cent surtax levied on personal income tax, which had been introduced in 1968, was extended to end-1970 ; additional revenue from this was forecast at C$ 25 million in FY 1969/70, and 115 million in the current fiscal year.

Additional selective anti-inflationary measures have included the immediate implementation of remaining tariff reductions under the Kennedy Round referred to earlier. Moreover, a regionally directed deferral of depreciation for tax purposes by two years was introduced for commercial buildings put in place during 1969 and 1970 in certain prosperous metropolitan areas in Ontario, Alberta, and British Columbia. This was inten-

ded to have a dampening effect in a sector where growth was particularly buoyant, and cost increases especially high.

The budget for the current fiscal year was presented to Parliament on 12th March. It shows a smaller surplus than in 1969/70 (Table 8). This is partly due to high transfers to other levels of Government (up 32 per cent) for health, education and shared-cost programmes. Revenue forecasts are based on assumed lower growth rates of total demand, output and employment. Expenditures (national accounts basis) are forecast to rise by 8 per cent for all items except transfers to other levels of Government, and by 12¾ per cent for the total. Purchases of goods and services are expected to rise by 7½ per cent, after 11 per cent last year. Revenue is expected to grow by 9¼ per cent, much less than in the last two fiscal years, when effects of tax changes, and the strong expansion between late 1967 and early 1969 brought large " fiscal dividends ".

Table 8 **The Federal Budget for Fiscal Years 1967-71**
National accounts basis
C $ million

	1967-68	1968-69	1969-70 Prelimi-nary	1970-71 Forecast
Revenue :				
Direct taxes, persons	3 750	4 455	5 725	6 575
Direct taxes, corporations	1 670	2 025	2 090	2 065
Indirect taxes	3 684	3 830	4 035	4 220
Other revenue	1 790	2 090	2 460	2 500
Total revenue	10 894	12 400	14 310	15 620
Expenditure :				
Goods and services	4 329	4 620	5 725	5 515
Defence	1 816	1 845	1 845	1 875
Other	2 513	2 775	3 280	3 640
Transfers to persons	3 021	3 430	3 680	4 010
Interest on public debt	1 270	1 445	1 660	1 785
Other expenditure	470	460	555	590
Transfers to other levels of government	2 137	2 525	2 720	3 590
Total expenditure	11 227	12 480	13 740	15 490
Deficit (—) or surplus	–333	–80	570	130
Memorandum items :				
Deficit (—) or surplus budgetary basis	–795	–576	355	250
Non-budgetary cash requirements (—) or availabilities[1]	–606	–316	–105	–775
Total cash requirements (—)	–1 404	–892	250	–525

1 Excludes foreign exchange transactions.
Source: Budget Speech, March, 1970.
NOTE. Fiscal years begin 1st April.

Two additional measures aimed at restricting demand have been introduced. The deferral of depreciation for commercial buildings has been extended to the end of 1971, for all projects started between the announcement date, and end-1970. Area and conditions of applicability were not changed. The curb has been continued partly because a recent medium-term survey points to continued vigorous expansion of commercial investment in 1970. The second measure is a proposal intended to restrain consumer credit[1], by requiring a minimum down payment of 20 per cent, and a maximum repayment period of 30 months for automobiles and 24 months for other instalment purchases amounting to C$ 100, or more. Credit sales of automobiles would probably not be affected much, since average repayment periods are already not far from 2½ years, with a maximum of three years. Purchases of other durables, travel expenditure, etc. might be curtailed perceptibly, or additional cash payments needed might reduce other spending. The total effect of this credit control on consumer expenditure is estimated at C$ 300-400 million for a full year. If the motion can be passed in May, as hoped by the Government, the measure would begin having an effect in the second half of 1970. The budget speech mentioned the possibility of a supplementary autumn budget, depending on progress made towards slowing down price and cost increases.

For the total public sector, official estimates on national accounts basis are available for calendar year 1969[2]. The net position of all governments, including the Canada and Quebec Pension Plans, shifted towards additional restraint in 1969 with an increase in the surplus from C$ 0.8 billion to 2.1 billion, a swing amounting to about 1½ per cent of GNP. In addition to the shift in the federal budget already noted, provincial governments significantly expanded their surplus with the aid of the tax rate increases, the introduction of medicare premiums, and, aside from large Government employee salary increases, a considerable degree of expenditure restraint. The deficit of municipal government grew, exceeding C$ 1 billion in 1969.

Monetary Policy

With aggregate demand and inflationary pressures proving to be unexpectedly strong, monetary policy in North America was tightened late in 1968 after a premature easing beginning around mid-year. In the

1 The restriction was characterized as temporary in the Budget Speech, but no expiration date was given.

2 In the Budget Papers of 27th February, the source of these estimates, information was used as available prior to 4th February, on an unrevised national accounts basis. Figures are not strictly comparable to those in Table 8.

autumn, the Bank of Canada began managing chartered-bank cash reserves so as to place pressure on the liquidity of the banking system. With an increase in short-term market rates of interest, bank rate was increased from 6 to 6½ per cent in mid-December, and further raised during 1969 until it reached 8 per cent in July. Privately held currency and chartered bank deposits rose at a seasonally adjusted annual rate of about 7½ per cent in the first half, compared with 13½ per cent in the previous six months (Table 9)[1].

The slowing did not immediately affect bank lending much. Indeed, with customer demands extremely strong, bank loans expanded at a rapid rate in the first five months. Banks met these demands by running down their holdings of liquid assets quite sharply from well-endowed liquidity positions built up around the middle of 1968. The " more liquid asset ratio "[2] fell from its autumn 1968 peak of 32½ per cent to about 27½ per cent in June, 1969, well below previous lows. In April, the Bank of Canada raised the minimum secondary reserve requirement, effective in June, impounding some C$ ¼ billion of the banks' liquid assets. Some further decline in the more liquid asset ratio occurred over the second half, to about 26 per cent at year end.

Monetary policy appears to have become even more restrictive in the second half of the year. The privately held money supply showed virtually no change. With liquidity position already at extremely low levels, the growth in bank loans was sharply reduced from the first half rate. Indications are that monetary restrictiveness continued into the early months of 1970. The more liquid assets ratio declined further, reaching a low point of about 25 per cent in February ; some recovery took place in March and April, but the ratio remained at a low level. Over the first four months general loans outstanding showed a net decline, but currency and privately held bank deposits showed some increase, particularly in April.

The Bank of Canada has effectively used moral suasion on the banking system to achieve supplementary objectives. The major banks agreed not to compete aggressively for large Canadian term deposits, leading to a decline in the volume of such deposits as rates on competing assets climbed. Thus, banks tended to bear a greater share of the burden

1 It should be noted, in interpreting Table 9, that the high rate of chartered bank expansion during 1967 and 1968 was partly due to the improvement in their competitive position as a result of a 1967 Bank Act revision. For those years, currency plus demand deposits is probably a better indicator of monetary expansion. For the period under discussion here, however, movements in the two alternative aggregates are very similar.

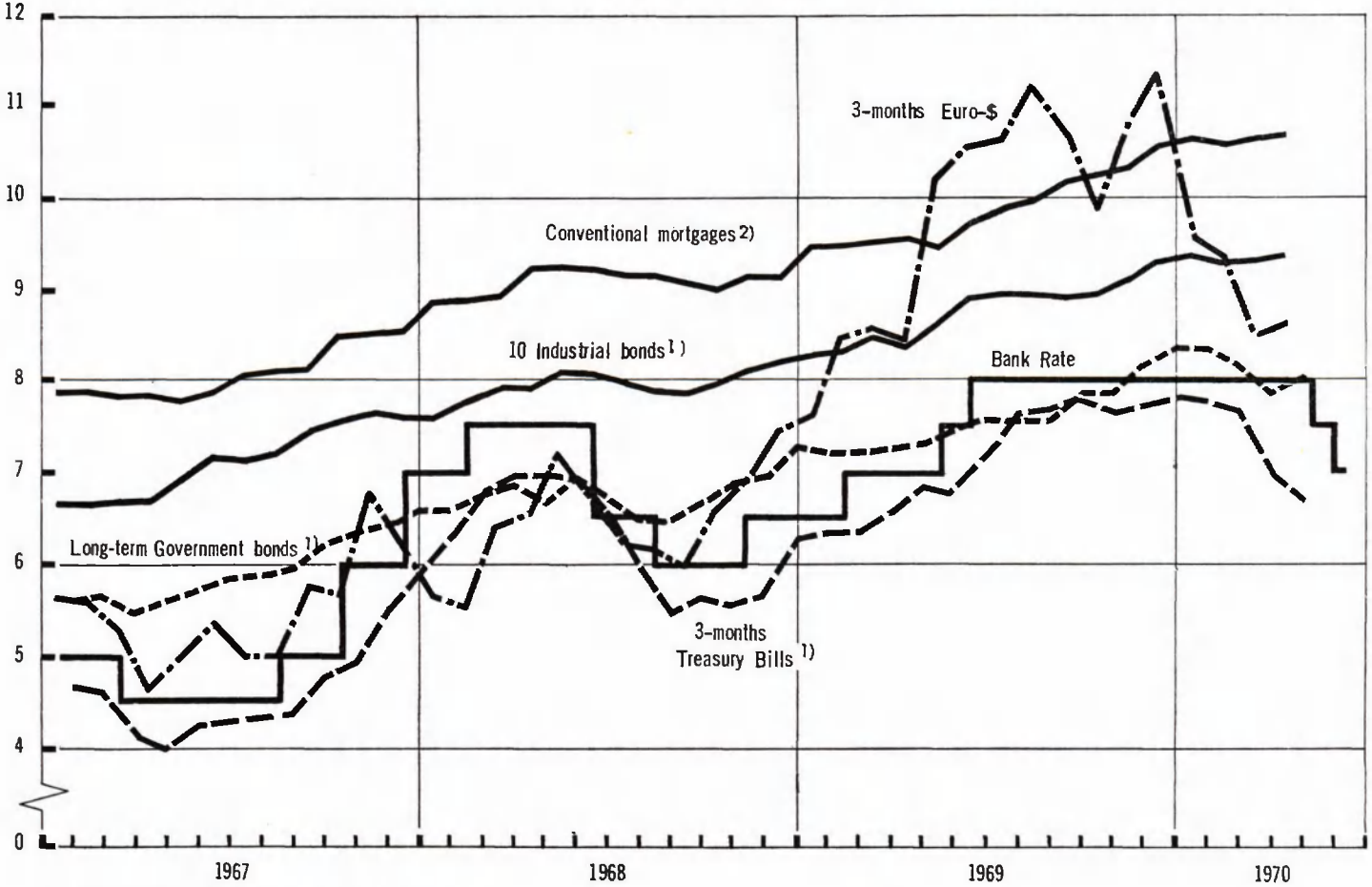
2 " More liquid assets " as a percentage of total assets, seasonally adjusted.

Table 9 **Selected Monetary Indicators**

	C$ mill.	Per cent changes, seasonally adjusted annual rates						
		12 months ending :			6 months ending :			4 months ending April, 70
	Dec. 69	Dec. 67	Dec. 68	Dec. 69	Dec. 68	Jun. 69	Dec. 69	
Chartered Bank Assets :								
Total major assets	27 285	14.1	14.1	5.2	16.0	9.1	1.4	–0.5
Total loans	17 411	14.4	12.0	14.4	11.8	20.2	8.8	–9.4
of which :								
General loans	14 945	13.5	10.8	13.5	14.3	23.1	4.6	–1.2
of which :								
Business loans	8 793	12.1	9.5	14.2	12.0	21.5	7.3	1.1[1]
Unsecured personal loans	4 154	20.9	23.0	13.2	34.2	23.4	3.8	2.8[1]
Currency and Chartered Bank Liabilities :								
Currency and chartered bank demand deposits	8 932	7.9	6.5	3.9	13.6	8.6	–0.6	8.1
Personal savings deposits with chartered banks	15 127	14.5	15.7	10.6	14.1	11.4	9.9	1.4
Currency and chartered bank deposits, privately held	27 710	16.0	13.2	3.8	13.3	7.4	0.3	6.1
Currency and chartered bank deposits, total	28 917	13.9	13.7	5.7	15.2	6.7	1.9	0.5

1 3 months ending March, 1970.
Source: Bank of Canada.

Diagram 3 **Interest Rates**



Source: Bank of Canada Statistical Summary.

of credit restraint than did other competing institutions not so limited[1]. Also, in July, to protect Canadian interest rate levels against sharply rising Euro-dollar rates, the Bank of Canada asked the chartered banks not to further expand their " swapped deposits "[2] by which means a considerable short-term capital outflow, and upward pressure on Canadian rates, had occurred in the first part of 1969. In early January of this year this request was extended to other financial institutions to avoid similar transactions. But in March, owing to a substantial fall in interest rates abroad, the request was withdrawn as unnecessary. In addition, banks have been requested to give preferences in their lending to less prosperous regions, to small businesses, and to Canadian customers, and to maintain a reasonable continuity in their lending for housing.

Other credit channels have become increasingly important as bank credit has been restrained, particularly since chartered banks were inhibited from competing for term deposits by the Bank of Canada request. The strong demand for mortgage funds and consumer credit has produced an increased rate of growth in specialized non-bank financial intermediaries serving these needs. Total growth of the major financial institutions was reduced in 1969, but this was more than accounted for by the chartered banks. Another source of credit increasingly relied on as a substitute for bank lending, and for bond sales as well, was the commercial paper market. While expanded use of alternative credit channels certainly did not vitiate the financial restraint applied by the central bank, they did serve to cushion its impact on the economy.

Sharply rising interest rates abroad, domestic monetary restraint, heavy domestic credit demands, and rising inflationary expectations all combined to send Canadian interest rates soaring to historical highs. Chart 3 shows the movements of some of the major market rates, together with bank rate. The pattern has been similar to that in the United States, but less extreme than the upward movement in Euro-dollar rates—also shown in the chart. Rates generally climbed throughout the year, but in early 1970, there was a pronounced decline primarily in response to the trend of interest rates in the United States, although there may have been some easing in credit demands.

Despite the easing of market interest rates, some recovery of bank liquidity, and renewed moderate growth of monetary aggregates late in 1969

1 The effect of this agreement was similar to the formal " Regulation Q " in the United States, which placed ceilings on interest rates banks could offer on certificates of deposit.

2 Canadian dollar funds converted into foreign currency (usually US dollars) and placed on term deposit at a bank with forward coverage. The banks, in turn, invest such funds in foreign instruments.

and early 1970, monetary policy is continuing to exercise considerable restraint on the Canadian economy. In view of the continued strength of inflationary pressures, it is probable that monetary policy will continue to be relatively restrictive for some time to come. There are limits, however, on how restrictive Canadian policy can be without attracting an unduly large net capital flow from abroad. As noted earlier, substantial addition to foreign exchange reserves has already occurred in the early months of 1970.

A number of special measures were announced in May to assist in the accommodation of the additions to foreign exchange reserves. To provide Canadian dollar balances to meet demands arising from the purchase of US dollars in the exchange market, the Government announced a special offering of C$ 250 million of Treasury Bills. Concurrently, the Bank of Canada announced an increase in the minimum secondary reserve ratio for chartered banks, to be effective in July. This action was designed to immobilize an amount of secondary reserves approximately equal to the new Government financing. At the same time, the bank rate was reduced from 8 to 7½ per cent, bringing it more closely in line with the levels of short-term market interest rates.[1]

1 On May 31, after this Survey has been completed, the Government of Canada announced that, for the time being, it would not maintain the exchange rate of the Canadian dollar within the previous margin around par value (92½ US cents), but allow it, instead, to rise above this margin in response to market forces. The Government undertook to stabilize the rate again " as soon as circumstances permit. " The decision was in response to a rapid and accelerating accumulation of official reserves of more than US$ 1.2 billion since the beginning of 1970 (not including the allocation of Special Drawing Rights). This resulted from the very strong first quarter balance of payments current account performance, together with a continued strong inflow of long-term capital, and a favourable swing in net short-term capital flows, as interest rates in the Eurodollar market declined from their high level of 1969. At the same time, the bank rate was lowered from 7½ to 7 per cent, which would better align it with market rates and tend to reduce upward pressure on the exchange rate.

In announcing its action, the Government stated that without this step Canada's official reserves would have risen far above needs, and speculative purchases of Canadian dollars would have been encouraged. An additional consideration was that the accumulation involved an increase in the privately held money supply at the expense of government cash balances. The statement also pointed out that an appreciation could also be useful in helping to moderate the present cost-price spiral, mainly through lowering the prices of imported products. On the other hand, any significant lasting appreciation would tend to have a restraining effect on the Canadian economy. Since additional restraint was not deemed appropriate, the Government would moderate the appreciation should this prove necessary, and make appropriate adjustments in its general demand management policies. On June 1, the Government announced that it was withdrawing its proposals for consumer credit controls, and was considering changes in other aspects of its general economic policies.

During the first week after this action, the Canadian dollar rose to about 5 per cent above its par value.

Incomes Policies

While excess demand has apparently been eliminated in most sectors, cost and price increases remain strong. General demand management policies continue to be the principal element of the Government's anti-inflationary effort. But it was thought wise to explore supplementary approaches as well, in an effort to speed and ease the transition to lower rates of price increase, and thus minimize the intervening costs in terms of higher unemployment and foregone output. To this end, in May, 1969, the Prices and Incomes Commission was established, as an independent temporary body. Its assignment was to study costs, prices, productivity and income in certain key sectors and industries, to do research on causes, development, and consequences of inflation in Canada, to provide advice to Government on such problems, and to improve general understanding of the dangers of inflation.

The Commission began work last August, and very soon asked business, professional groups, labour and Government to co-operate in the creation of a comprehensive package of income restraint. A national conference of these groups on price stability was planned for December, 1969, in order to secure general support for voluntary price and wage curbs. But in mid-October, labour unions, not convinced that their interests would be safeguarded, announced that they would refuse to follow any guidelines.

The Commission then shifted to a sequential approach, in which it tried to win promises of co-operation from other groups first, before resuming discussions with labour unions. In order to forestall the threat of large price increases before agreements could be reached, the Government, early in January, 1970, asked business in some sectors to hold back price increases until 1st March. Examples were copper prices, railway freights and interest rates on consumer loans.

Early in February, 1970, the Prices and Incomes Commission convened a national conference on price stability, with 250 business and professional leaders. Agreement was reached which tentatively commits business firms to reduce the number and size of price increases they would normally make in 1970. Specifically, price increases were to be somewhat smaller than needed to generate revenue equal to cost increases. As a supplementary measure, a system of price reviews was agreed upon, providing advance notice, in some cases, for planned price increases. One week later, in a federal-provincial conference of government leaders, provinces gave their broad support for the programme of voluntary restraints, and stated their intentions to apply the proposals of the Prices and Incomes

Commission within their own jurisdiction, as far as their particular circumstances permit.

Immediately after the conferences, the Prices and Incomes Commission re-entered discussion with labour, but it was again unsuccessful in winning their support.

Talks with labour unions offer special problems. Organized union members represent only about a third of the labour force, and incomes of other wage and salary earners must also be restrained. The bargaining structure in Canada is very decentralized, with autonomous local unions. Considerations of parity with US wage rates are very important in some sectors. Union leaders may fear loss of control over their members if they try to co-operate. For these reasons, uniform agreements on wage restraints may be difficult to achieve. In the face of this, a selective approach to individual unions now seems to be envisaged by the Commission, concentrating on those bargaining for new contracts this year. In addition, it will maintain its efforts to educate the public, including union membership, on the need for restraint in income demands if price stability is to be restored in Canada at a reasonable cost.

III PROSPECTS AND POLICY CONCLUSIONS

Prospects

In assessing Canadian prospects the Secretariat has assumed that there will be very little real expansion in the United States for 1970 as a whole, though some acceleration is expected after the first half-year, continuing into 1971. Domestically, fiscal policy is expected to exert somewhat less restraint than last year. Monetary policy is assumed to ease to a modest extent later in the year. However, demand strength in Canada is still apparently stronger than in the United States and recent official statements suggest that policy will continue to be conscious of the risks of allowing inflationary pressures to regain their strength.

On the basis of these assumptions, real GNP is expected to grow perhaps between 2½ and 3 per cent in 1970, much more slowly than last year. Its time path will be influenced by the continued recapture of strike effects in the early months of this year, so that strength will probably lessen somewhat afterwards, in contrast to the expected pattern in the United States. Some revival might come before year-end, mainly from exports —reflecting a return to more normal economic expansion in the United States—and private consumption, but there are a number of possible developments that cannot easily be predicted.

Private consumption will likely grow rather slowly this year. A more moderate rise of labour income—reflecting mainly slower employment growth—may be partly offset by a smaller increase in direct taxes than last year. But the very considerable planned addition to Medicare payments, and increases in premiums to finance them, will increase Government expenditure at the expense of private consumer outlays. This is expected to reduce volume growth of private consumption by one percentage point or more in 1970. Another dampening factor for consumer expenditure in the second half of the year is the proposed consumer credit controls, which are assumed to be implemented on schedule. This might also mean a somewhat higher personal saving rate than last year. 1971 will probably see a return to more normal growth rates of consumer expenditure.

Business fixed investment demand, judging by the official investment survey made around the turn of the year, may remain strong. But excluding the backlog of investment plans postponed to 1970 because of strikes, some slowdown is expected, possibly influenced by anticipated weak corporate profits. Residential construction may show a marked decline in volume terms, as housing starts have been falling off ever since the first quarter of 1969. But the Government is presently adding to the supply of funds for housing, and some slight revival might result from the second half of 1970 onwards, even if there is no substantial fall in mortgage rates. Non-farm stockbuilding is expected to undergo little change over the forecasting period, but agricultural stocks may show a substantial decline, mainly in the present half year, owing to the programme for reduction of wheat acreage and of grain stocks on farms and in commercial channels, and more favourable prospects for wheat exports.

Exports have been boosted by the recovery of losses suffered from 1969's strikes in primary metals, and by scheduled wheat shipments to China and the Soviet Union. Automobile exports are also still strong. But these factors are expected to diminish after the first quarter, so that exports of goods and services are likely to level off later on. A renewal of growth in the United States might bring some revival of exports next year. Imports are expected to show some decline in growth in the course of 1970, reflecting slower growth in domestic activity.

With increasing underutilization of capacity in 1970, there will probably be a weak rise in employment; the unemployment rate is expected to rise during the year, averaging 5½ to 6 per cent for the year, and despite a probable slower growth of the labour force. Productivity gains may be even lower than last year, but the size of collective bargaining settlements continues to be high, and wage rates have shown no signs, as yet, of slowing their advance. Thus, unit labour costs cannot be hoped to grow much less than last year. Profit

margins will probably absorb part of the cost increases. Prices may show a rise in 1970 comparable to that of last year, but some gradual slowdown within the year is expected. The result will depend on the effects of easing demand pressure, the amount of success in promoting voluntary wage and price restraint, and the amount of deceleration in price trends achieved abroad. The moderation of price rises through such factors is expected to have its major effect in 1971, but there may be some gradual slowdown of increases within the present year.

The current deficit of the balance of payments will likely show some improvement in 1970, due to the favourable effects on exports and the trade balance of recapturing strike losses and better prospects for wheat exports. The service balance is expected to show the usual moderate trend deterioration. The most favourable current account result has almost certainly already been registered in the first quarter. An increase of the deficit is expected in the course of 1970 and perhaps into the first half of 1971. Long-term capital inflows may well remain somewhat below those recorded in 1969, but short-term capital outflows might be smaller if monetary conditions are relatively tighter than those abroad. The financing of the current account deficit in 1970 should not present any difficulties.

Conclusions

Inflation has so far proved surprisingly resistant to policy measures. It is true that the brief but rapid acceleration of the expansion in late 1968 and early 1969 may have given additional momentum to inflation. But since then, demand pressures have eased markedly. And given the low average levels of resource utilization prevailing over the last 2 to 3 years, the price performance has been disappointing. Recent trends in wage settlements offer little hope of early relief from cost pressures. Some of the possible reasons for the continuing strong increase in costs and prices were explored earlier. Wherever the emphasis is placed, it is clear that the problem of inflation is, as the authorities have stated, " the chief concern of public opinion and national policy ".

Demand management must remain a major element of anti-inflationary policy. It is clearly important to avoid a resurgence of demand which would increase pressures on resources and fuel inflationary expectations; the maintenance of a certain margin of slack is undoubtedly a necessary condition for restoring better price stability. But there is a question of how much increase in the existing margin is needed. Given the degree of under-utilization of capacity that has already developed, with the unemployment ratio above 5 per cent, the stabilising influence on price/wage trends of a further reduction in rates of resource utilisation may be marginal.

Moreover, inflation in the United States has probably been a significant factor behind the continuing strong rise in costs and prices in Canada. With some slack in the Canadian economy, and the expectation of improved cost/price trends in the United States, there are grounds for hoping for a better performance in Canada.

On the basis of present policies, prospects point to an advance in activity in the months ahead well below the rate at which capacity is assumed to be growing, with unemployment probably rising to around 6 per cent a move by the end of the year. Nevertheless, a general relaxation of demand restraints may not be appropriate. At the same time, it must be recognized that there are marked regional disparities in resource utilisation; the unemployment ratio for 1969 varied from 3.2 per cent in Ontario to 6.9 per cent in Quebec and 7.5 per cent in the Atlantic Provinces. While the Canadian authorities have greatly expanded their efforts to encourage economic and industrial expansion in less prosperous regions, it may be a matter for consideration whether, within the limits of generally restrictive fiscal and monetary policies, further measures could be taken to assuage the situation in regions where unemployment is particularly high.

Manpower policies have a particularly important role to play in reducing inflationary pressures, and it is encouraging that the Canadian authorities attach great importance to these policies. The programmes aimed at increasing the skills and geographical and occupational mobility of labour have been significantly expanded. They should increase productivity and ensure a better adjustment of labour supplies to changing patterns of demand, thereby reducing the pressure on wages associated with a given degree of capacity utilisation.

Progress towards better price stability could be enhanced, and the costs in terms of unemployment and foregone output during the transition period could be eased, if voluntary wage and price restraint could be successfully implemented in support of general demand management policies.

The failure, up to the present time, to obtain the confidence and support of organized labour does not mean that the efforts of the Prices and Incomes Commission have been fruitless. The agreements made with business and provincial governments can, in themselves, contribute to a slowing down in the inflationary spiral—directly as well as through their impact on wage demands as the rise in living costs eases. Nor is it necessarily the case that the Commission's activities will have no impact on collective bargaining situations. Trade union leadership, no doubt, now has a heightened awareness of the public's interest in their decisions, and the Commission's public education efforts must have reached and influenced union membership. The Commission may be able to reinforce this tendency by

selective and skilful application of persuasion in individual bargaining situations. They will also be closely watching individual product markets and investigating price increases that appear to be unjustified by cost increases. Given the difficulty of the problem, one cannot be too optimistic about the speed and size of the Commission's impact. But given, too, the seriousness of the problem, it would seem unwise not to use all tools available. It is important that the efforts of the Commission to obtain the confidence and cooperation of all parties be continued.

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Annex 1

CYCLICAL EXPERIENCE IN COSTS AND PRICES

An attempt is made here to place the price-cost problem and the roles of wages and corporate profits in a longer-term cyclical context, using a graphical approach over the 1954 to 1969 period (see attached diagram). Three statistics are used to define an appropriate reference cycle. They are actual real national product in per cent of potential output (panel 1), the unemployment rate (panel 2), and the annual growth rate of real GNP at 1961 prices in percentage-point deviations from corresponding potential growth rates (panel 7). In the period examined, there are two major peaks (1955/56 and 1964-66) and a minor upturn (1959), with troughs in 1958, 1960/61 and, to a lesser extent, in 1967. All other panels of the diagram show periodical deviations from logarithmic or linear trends for the years 1954 to 1969 (trend values are indicated in brackets to the right of plotted lines).

Whenever increasing use is made of total resources (1955/56, 1959, 1962-66), output per employee accelerates, and is soon above its trend line (panel 3). Although price rises do not usually accelerate in such periods (panel 6), total corporate profits react immediately (panel 4), and unit profits rise as well (panel 5). Labour compensation (excluding military pay) typically lags behind productivity and corporate profits (panel 4), by one to two years for the 1955/56 peak, and by two to three years for the 1964 to 1966 period. (The somewhat longer lag in the mid-sixties may be due to the growing relative importance of long-term wage contracts.) Labour compensation per employee (panel 8) follows the same cyclical pattern as the total wage bill, but with weaker amplitudes. Unit labour costs may lag even further behind unit profits (panel 5), since even after the growth rate of labour compensation per employee has turned up, productivity growth may still accelerate relatively faster. The deviations of unit labour costs from their trend line appear quite countercyclical.

In the last decade, unit labour costs and unit corporate profits together accounted for three-quarters to four-fifths of the total change in the implicit price deflator of GNP; deviations from trend lines move very closely (panel 6). The relative importance of wages and salaries in the deflator change rose, however, from one half in the 1961 to 1965 period, to more

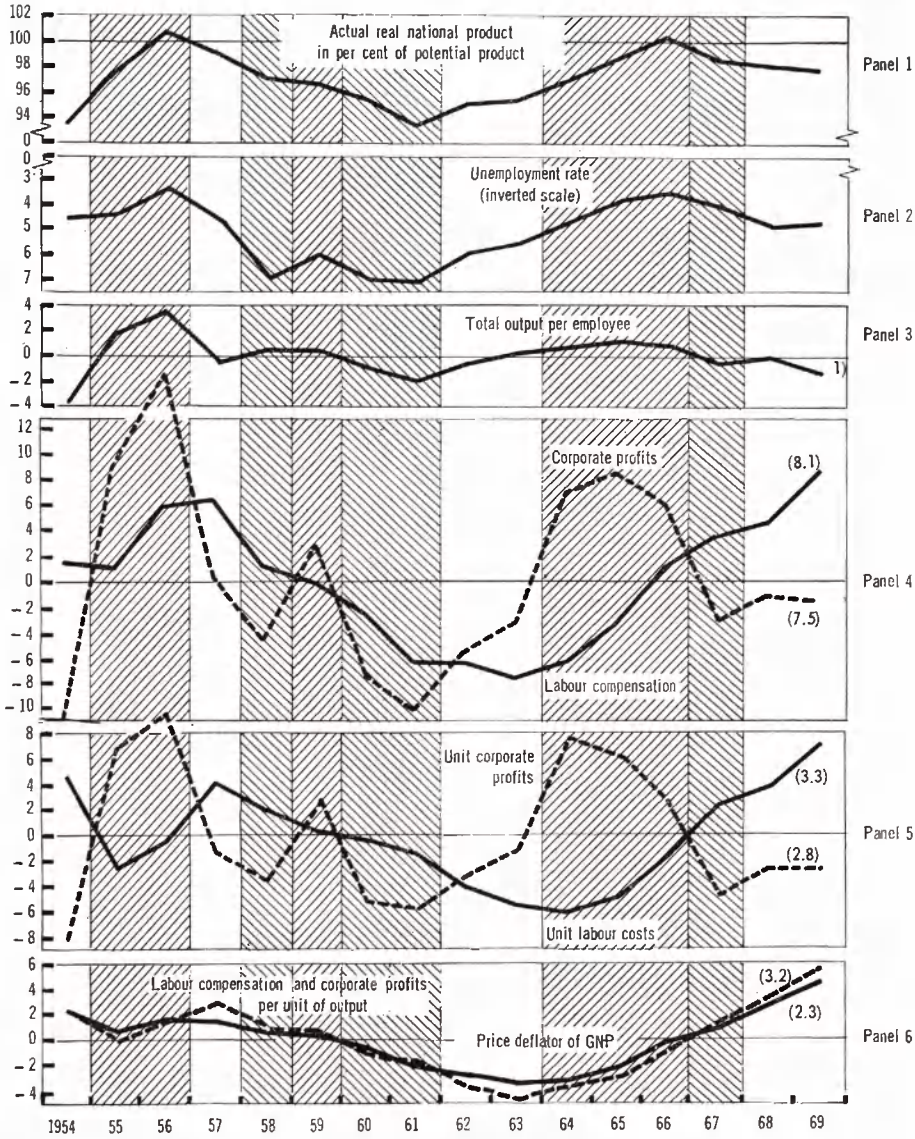
than three-quarters in the last four years, whereas that of corporate profits sank from about one-third to zero. Relative deviations of the price deflator from its trend usually follow the most important cost element, and are therefore mostly similar to those of unit labour costs, especially in the sixties; rising profits appear to have reflected real expansion more than price behaviour.

The inverse behaviour of wages and salaries is also brought out if they are considered as a part of net national income at factor cost. In panel 7, relative deviations of the share of labour income from a secular rising trend are plotted against percentage point deviations of growth rates of GNP from annual potential rates. Both cycles show opposite criss-crossings which are very regular over the whole period. Usually, labour compensation falls below its trend share in boom phases, comes back to it with a lag, as slack begins to develop, and overshoots it in periods of weak growth—making up, as it were, for the relative losses incurred during the previous strong real expansion. In other words, the struggle of wage and salary earners for income shares in Canada appears to be a countercyclical phenomenon.

Under this hypothesis, the high rises of labour compensation per employee after the early sixties may be, to an important extent, due to a typical lagged recapture of the income share of labour. It started slowly around 1963/64, two years after profits had started to grow faster, gaining strength and coming back to the trend line in 1966. By this time, corporate profits had been growing considerably above its trend line for three years. The long lag of reaction for wage claims suggests, as a counterpart, a long period of catching up.

From 1966 onwards, this explanation seems to be less adequate, as other factors become important. Large price increases and other demonstration effects from abroad, inflationary anticipations of future price rises, and exceptionally low growth of labour productivity damaged Canadian price performance. The rise in consumer prices (panel 9) began to reach record rates from 1966 onwards. Wage and salary earners built more and more anticipations of price rises into their claims for higher wages and salaries. Business granted these claims, as there seemed to be no difficulty in passing on cost increases in higher prices. The attempt to get ahead of price increases added strength to the overshooting of the trend share for labour income, producing more than would have occurred in the normal countercyclical process of recovering labour-income shares. The upswing of corporate profits in the second half of 1968 added more fuel to the upward spiral of prices and wages in 1969. No distinct sign of a slowdown from these high rates could be discerned in the first quarter of 1970.

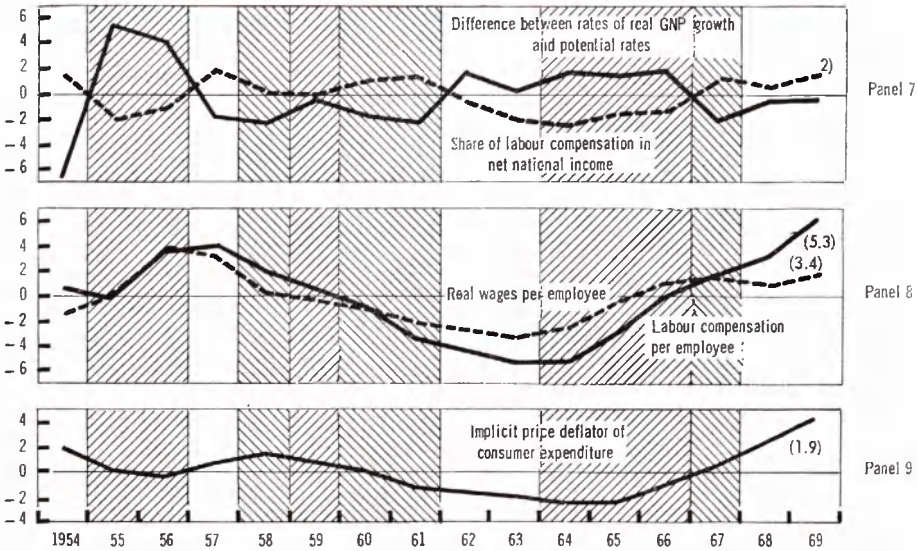
Diagram 1 Cyclical Experience in Costs and Prices
Relative deviations from 1954-1969 trends



Continued p. 42

1 Linear trend (indices 1961 = 100, yearly averages t) : 84.5 + 2.2 (t—1953).

Diagram 1 *(continued)* Cyclical Experience in Costs and Prices



2 Linear trend (per cent shares, yearly average t) : 65.0 + 0.4 (t — 1953)
Source : OECD Secretariat.

STATISTICAL ANNEX

Table A **Gross National**
Annual figures and annual
C$

	Personal consumption expenditure	Government current expenditure on goods and services	Government fixed capital formation	Business fixed	
				Total	Residential construction
					Current
1962	26 636	6 770	1 901	6 922	1 856
1963	28 364	7 149	1 983	7 539	1 960
1964	30 647	7 684	2 022	9 151	2 384
1965	33 134	8 307	2 443	10 808	2 635
1966	36 057	9 820	2 845	12 560	2 609
1967	38 998	10 934	2 969	12 715	2 809
1968	42 360	12 158	2 995	12 814	3 254
1969	46 531	13 774	3 132	14 018	3 854
1968: 1st quarter	41 104	11 660	2 988	12 756	3 024
2nd quarter	41 596	11 744	3 012	12 536	3 200
3rd quarter	42 812	12 328	2 988	12 756	3 208
4th quarter	43 928	12 900	2 992	13 208	3 584
1969: 1st quarter	45 256	13 048	3 004	13 752	3 748
2nd quarter	46 032	13 388	3 000	14 032	3 980
3rd quarter	46 648	14 256	2 976	14 008	3 776
4th quarter	48 188	14 404	2 992	14 280	3 912
1970: 1st quarter	48 408	13 774	3 132	13 996	3 848
					1961
1962	26 277	6 598	1 867	6 825	1 856
1963	27 551	6 726	1 873	7 271	1 918
1964	29 372	6 980	1 862	8 575	2 230
1965	31 113	7 126	2 108	9 689	2 346
1966	32 771	7 900	2 326	10 756	2 189
1967	34 309	8 225	2 436	10 755	2 218
1968	35 853	8 539	2 458	10 719	2 518
1969	37 847	8 892	2 377	11 206	2 834
1968: 1st quarter	35 324	8 472	2 488	10 804	2 412
2nd quarter	35 420	8 404	2 440	10 580	2 528
3rd quarter	36 108	8 584	2 444	10 656	2 492
4th quarter	36 560	8 696	2 460	10 836	2 640
1969: 1st quarter	37 504	8 768	2 372	11 176	2 796
2nd quarter	37 772	8 684	2 436	11 256	2 948
3rd quarter	37 808	9 108	2 372	11 164	2 792
4th quarter	38 304	9 008	2 328	11 228	2 800
1970: 1st quarter	37 980	9 360	2 392	10 772	2 652

NOTE. Figures given show revisions back to 1967, as published on 26th May, together with the preliminary results for 1970 first quarter.

Source : National Accounts, Income and Expenditure (DBS).

Product and Expenditure
rates, seasonally adjusted
million

capital formation		Value of physical change in inventories	Exports of goods and services	Imports of goods and services	Residual error	Gross national product at market prices
Non-residential construction	Machinery and equipment					
prices						
2 489	2 577	568	8 265	9 045	336	42 353
2 700	2 879	592	9 102	9 562	298	45 465
3 233	3 534	469	10 540	10 915	185	49 783
3 860	4 313	1 172	11 223	12 343	153	54 897
4 648	5 303	1 230	13 088	14 260	81	61 421
4 533	5 373	408	14 713	15 235	220	65 722
4 542	5 018	741	16 795	16 988	552	71 427
4 702	5 462	1 043	18 480	19 346	1 044	78 537
4 532	5 200	656	16 204	16 584	192	68 976
4 536	4 800	508	16 732	16 448	588	70 268
4 536	5 012	1 016	16 664	17 012	624	72 176
4 564	5 060	784	17 580	17 908	804	74 288
4 688	5 316	1 180	18 364	19 068	952	76 488
4 664	5 388	648	18 064	19 032	1 148	77 480
4 684	5 548	1 348	18 188	19 376	1 244	79 292
4 772	5 596	796	19 304	19 908	832	80 888
4 852	5 296	580	21 116	20 248	900	82 876
prices						
2 467	2 502	534	8 010	8 665	332	41 778
2 619	2 734	576	8 712	9 001	288	43 996
3 100	3 245	393	9 856	10 163	175	47 050
3 496	3 847	1 095	10 348	11 470	140	50 149
3 952	4 615	1 146	11 714	13 034	71	53 650
3 834	4 703	312	12 941	13 652	191	55 517
3 782	4 419	611	14 564	14 954	455	58 245
3 682	4 690	910	15 664	16 566	818	61 148
3 792	4 600	356	13 964	14 624	168	56 952
3 788	4 264	468	14 428	14 500	488	57 728
3 772	4 392	832	14 712	15 020	516	58 832
3 776	4 420	788	15 152	15 672	648	59 468
3 736	4 644	1 028	15 700	16 552	764	60 760
3 688	4 620	548	15 332	16 456	900	60 472
3 652	4 720	1 284	15 384	16 544	968	61 544
3 652	4 776	780	16 240	16 712	640	61 816
3 636	4 484	576	17 712	16 604	680	62 868

Table B **Industrial Production,** Seasonally

	1963	1964	1965	1966	1967
1 *Indices of industrial production* (1963 = 100):					
All industries	100.0	110.0	119.4	127.8	130.2
Mining	100.0	112.9	119.0	123.4	131.3
Manufacturing	100.0	109.5	119.5	128.1	128.6
Durables	100.0	111.8	125.3	136.3	135.4
Non-durables	100.0	107.5	114.1	120.8	122.3
2 *New residential construction (thousands, annual rates):*					
Starts	148.6	165.7	166.6	134.5	164.1
Completions	128.2	151.0	153.0	162.2	149.2
Under construction	96.6	107.7	119.9	88.6	102.7
3 *Employment and unemployment :*					
Civilian labour force (thousands, monthly averages)	6 748	6 933	7 141	7 420	7 694
Non-agricultural employment (thousands, monthly averages)	5 726	5 979	6 268	6 609	6 820
Employment indices (1961 = 100):					
Mining	97.9	98.8	105.1	106.9	109.1
Manufacturing	106.1	111.1	117.2	123.5	123.2
Durables	109.5	116.7	126.0	134.9	133.9
Non-durables	103.4	106.6	110.1	114.3	114.5
Public utilities	100.1	101.5	103.9	106.7	110.9
Unemployment (thousands)	374	324	280	267	315
Unemployment (percentage of civilian labour force)	5.5	4.7	3.9	3.6	4.1
Average weekly hours worked in manufacturing	40.8	41.0	41.0	40.8	40.3
4 *Retail sales ($ millions, monthly averages):*	1 510	1 613	1 746	1 868	1 982
5 *Orders and inventories in manufacturing ($ million):*					
New orders (monthly averages)	2 344	2 601	2 867	3 127	3 211
Unfilled orders (end of period[1])	2 252	2 625	3 156	3 693	3 693
Total inventories (end of period)	4 926	5 345	6 005	6 577	6 725

1 3-month averages for quarters.

Source : OECD Main Economic Indicators, Canadian Statistical Review and Bank of Canada Statistical Summary.

Employment and other Business Indicators
adjusted

1968	1969	1968				1969				1970
		I	II	III	IV	I	II	III	IV	I
137.2	144.1	133.0	136.4	137.6	141.7	144.5	143.6	142.3	145.0	147.8
138.1	135.6	136.7	137.6	138.3	139.7	145.4	134.0	126.0	137.3	155.4
135.1	142.7	130.5	134.5	135.3	139.9	142.1	142.6	142.1	143.2	143.1
143.1	151.4	134.9	142.0	145.4	149.7	151.1	152.2	149.3	150.7	150.9
127.9	134.8	126.5	127.7	126.1	131.1	133.9	133.9	135.4	136.5	136.1
196.9	210.4	187.0	196.0	178.3	224.1	270.6	218.0	198.5	182.6	166.2
171.0	195.8	164.8	158.5	176.3	182.1	180.2	203.1	200.7	196.1	178.4
126.6	137.4	105.9	112.9	112.9	120.8	143.6	142.0	140.3	131.3	139.2
7 919	8 162	7 781	7 892	7 966	8 041	8 122	8 209	8 159	8 178	8 234
6 992	7 245	6 871	6 944	7 026	7 122	7 214	7 266	7 238	7 263	7 310
										113.4
109.8	107.9	109.9	110.5	109.7	110.8	112.2	109.4	100.9	109.4	113.9
122.1	125.2	121.3	121.6	122.0	123.6	124.9	126.0	124.5	125.7	125.0
131.7	136.7	129.6	130.7	132.2	134.1	136.1	138.0	135.6	137.5	136.2
114.4	115.9	114.5	114.2	113.7	115.2	115.9	116.2	115.5	116.1	115.9
109.5	112.2	110.5	108.7	107.6	110.7	113.1	112.2	111.5	111.8	113.4
382	382	363	389	396	389	353	388	396	409	396
4.8	4.7	4.6	4.9	5.0	4.8	4.4	4.7	4.9	5.0	4.8
40.3	40.0	40.2	40.4	40.3	40.6	40.4	40.1	40.1	40.0	39.8
2 118	2 255	2 026	2 070	2 161	2 197	2 234	2 227	2 263	2 310	2 264
3 379	3 650	3 192	3 328	3 466	3 529	3 596	3 615	3 734	3 705	3 639
3 588	4 065	3 712	3 644	3 629	3 679	3 675	3 696	3 845	3 966	3 997
6 880	7 343	6 723	6 667	6 800	6 853	6 992	7 042	7 175	7 327	7 456

Table C **Prices,**

	1963	1964	1965	1966	1967
1 *Prices* (1963 = 100) :					
Consumer prices, all items	100.0	101.8	104.3	108.2	112.0
of which : Food	100.0	101.6	104.2	109.9	111.6
Non-food	100.0	101,9	104.4	107.3	112.2
Wholesale prices, all items	100.0	100.3	102.4	106.1	108.0
of which : Raw materials and semi-manufactures	100.0	99.5	101.9	107.0	108.5
Manufactured goods	100.0	100.9	102.8	105.8	107.9
Farm products	100.0	98.5	105.7	112.4	111.7
2 *Wages and profits (seasonally adjusted):*					
Hourly earnings in manufacturing (1963=100)	100	104	109	115	123
Corporate profits before tax ($ million, annual rates)	5 078	6 043	6 574	6 913	6 774
3 *Banking ($ million, end of period):*					
Chartered banks :					
Canadian dollar deposits	16 099	16 697	18 594	20 016	22 663
of which : Personal savings deposits	8 443	8 935	9 725	10 248	11 760
Liquid assets[1]	2 586	2 682	2 903	3 205	3 604
Liquid asset ratio (per cent)[1]	17.96	17.20	16.89	17.22	17.44
Holdings of Govt. of Canada direct and guaranteed securities	2 642	2 439	2 355	2 324	2 888
Total loans[1]	8 332	9 410	11 278	12 427	14 168
Currency outside banks	2 055	2 183	2 351	2 491	2 736
4 *Interest rates (per cent, end of period):*					
3-month Treasury bill yield	3.78	3.82	4.54	4.96	5.95
Govt. of Canada 3¾ per cent 1996-98 bond yield	5.02	5.00	5.24	5.60	6.38
5 *Miscellaneous :*					
National Housing Act Mortgage Loans ($ million)	711	770	812	765	1 041
Industrial share prices (1963=100)	100	122	135	129	136
Security issues, net ($ million)	2 706	3 048	2 805	3 992	4 570
of which : Govt. provincial and municipal	2 021	1 897	947	2 328	3 097
Corporation bonds	699	817	1 342	1 036	923
Corporation stocks	–44	323	477	595	504

1. Annual figures are daily averages for year, quarterly figures are daily averages of last month in each quarter.

Source : OECD Main Economic Indicators, Canadian Statistical Review and Bank of Canada Statistical Summary.

1968	1969	1968				1969				1970
		I	II	III	IV	I	II	III	IV	I
116.7	122.0	115.0	116.0	117.3	118.5	119.4	121.6	123.0	123.8	125.0
116.6	121.4	115.1	115.6	117.7	118.0	118.5	120.7	123.3	122.9	124.4
116.8	122.3	114.9	116.3	117.2	118.7	119.8	122.1	122.9	124.2	125.3
110.3	115.5	109.3	109.9	110.5	111.6	114.2	115.8	115.7	116.2	118.1
109.8	114.6	109,7	109.9	109.6	109.9	112.6	114.6	115.5	115.6	119.7
110.8	116.0	109.3	110.1	111.1	112.6	115.1	116.5	115.9	116.6	117.4
110.2	114.7	108.1	109.7	112.2	110.8	112.0	116.9	116.4	113.5	118.1
132	143	128	131	134	136	139	142	144	147	150
7 442	7 852	6 960	7 316	7 568	7 924	8 160	8 084	7 576	7 588	7 844
26 379	27 336	22 785	23 713	25 063	26 379	26 627	26 793	26 588	27 336	26 956
13 622	15 030	12 295	12 989	13 541	13 622	14 229	14 632	15 154	15 030	15 583
3 850	4 018	3 539	3 681	4 202	4 006	3 957	4 070	4 065	4 035	4 100
16.51	15.50	15.99	16.01	17.34	15.98	15.61	15.64	15.65	15.26	15.65
3 429	2 977	2 867	2 899	3 279	3 429	3 424	3 130	3 076	2 977	2 931
16 061	17 917	14 791	15 090	15 162	16 061	16 705	17 438	17 379	17 917	17 738
2 988	3 279	2 629	2 753	2 829	2 988	2 910	3 057	3 133	3 279	3 142
6.24	7.81	6.98	6,56	5.66	6.24	6.58	7.13	7.77	7.81	7.00
7.22	7.95	6.54	6.66	6.51	7.22	6.93	7.31	7.72	7.95	7.82
1 288	1 250	262	286	320	419	228	337	303	382	201
139	153	130	135	142	150	154	157	146	153	156
4 904	4 367	419	980	1 340	2 164	857	995	626	1 888	866
3 388	2 486	273	433	922	1 760	367	389	178	1 552	414
850	873	75	398	245	131	219	251	229	173	223
589	948	53	147	150	239	274	365	178	131	219

Table D Balance of Payments 1962-69
OECD Basis
US $ million

	1962	1963	1964	1965	1966	1967	1968	1969
Current account :								
Exports	6 384	7 002	8 113	8 603	10 134	11 045	13 153	14 436
Imports	5 936	6 241	7 130	8 159	9 541	10 149	11 453	13 191
Trade balance	448	761	983	444	593	896	1 700	1 245
Services, net	–1 081	–1 090	–1 205[1]	–1 333[1]	–1 518	–1 209	–1 702[1]	–1 869
Balance on goods and services	–633	–329	–222	–889	–925	–313	–2	–624
Private transfers, net	–109	–94	–89	–56	—	19	87	87
Official transfers, net	–34	–60	–64	–86	–154	–169	–123	–133
Current account balance	–776	–483	–375	–1 031	–1 079	–463	–38	–670
Capital account :								
Current account (not seasonally adjusted)								
Long-term capital	644	590	777[1]	819[1]	985	1 249	1 393[1]	2 008
Direct investment	374	135	162	380	640	525	441	344
Basic balance	–132	105	402	–212	–94	786	1 355	1 338
Short-term non-monetary capital and unrecorded	40	137	219	–29	214	–465	–838	–789
Balance on non-monetary transactions	–92	244	621	–241	120	321	517	549
Private monetary institutions short-term capital	133	–115	–249	413	–423	–312	–305	–495
Assets	69	–466	–681	610	–205	–554	–751	–2 103
Liabilities	64	351	432	–197	–218	242	446	1 608
Balance on official settlements	41	129	372	172	–303	9	212	54
Use of IMF credit	138	–79	–59	—	—	—	—	—
Special transactions	84	—	–35[2]	–35[2]	—	—	–35	—
Miscellaneous official accounts	6	3	–1	10	–31	6	151	6
Change in reserves (+ = increase)	269	52	276	148	–334	13	330	60
(*a*) Gold	–238	108	209	125	–105	–31	–152	9
(*b*) Currency assets	719	–56	–130	–133	–325	60	709	–221
(*c*) Reserve positions in the IMF	–212	—	197	156	96	–16	–227	272

1 Data are adjusted to include debt obligations payable by the United Kingdom, but waived.
2 See footnote 1.

NOTE Detail may not add due to rounding.

Source : The Canadian balance of international payments, Canadian submission to OECD and Secretariat adjustments.

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